

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

Always commit to an answer-first recommendation, even when unsure. You had the pieces: 'Input costs went up a lot and prices never moved,' plus pricing and a store pilot. Practice saying 'My recommendation is X, because A and B; the key risk is C; next step is D' instead of 'I don't know.'

Rubric Scores

Problem Structuring

needs work

What went well

The candidate gave an early, logical hypothesis that costs, not revenue, were the likely problem area.

"I think costs is probably where the issue is since revenue went up but profit went down."

What needs work

The framework was a generic revenue / costs / external list with no sub-points, and the candidate did not break down costs even when directly asked.

"First, revenue — like what's happening with sales. Second, costs, so what they're spending money on. And third, maybe like external stuff, competition or the market."

The candidate was unsure whether the structure was MECE and did not restate the objective or tie the structure to the CEO's decision.

"Um, I think so? Maybe revenue and costs overlap a little with external."

Missed opportunities

Interviewer turn 3 asked whether the structure was MECE and what the candidate would break down within costs.

A great answer: "The objective is to explain an 18-point margin drop despite 15% revenue growth and to reverse it. Profit is revenue minus costs. Revenue splits into transactions times average ticket, and ticket splits into price times mix. Costs split into COGS (beans, dairy, packaging, food), labor, and overhead/rent. External context, such as whether peers are seeing the same squeeze, sits as a check on each bucket rather than as an overlapping third bucket. Since revenue grew, I'd start with COGS as a share of revenue, then check whether pricing kept up with input costs."

Quantitative & Analytical Rigor

adequate

What needs work

The candidate correctly weighted bean and other-input inflation into overall unit COGS growth and sanity-checked it back to the 58% figure, but first confused percentage points of revenue with percent growth: the 16-point move (42% to 58%) is roughly 38% unit-cost growth, not a 16% increase, and it took several prompts to resolve.

"COGS went from 42 to 58, so that's a 16% increase in COGS."

"So that's 0.25 times 40, which is 10 — beans alone add about 10% to COGS."

"I think the 10 and 28 add to about 38, so COGS went up 38% overall. And 42 times 1.38 is about 58. So that gets me to the 58."

The candidate could not translate the cost-growth figures into margin points, so the result never became a sizing of the problem. Beans add about 4.2 points (10.5% of revenue $\times$ 40%) and other inputs about 11.8 points (31.5% $\times$ 37.5%).

"But connecting that to the sixteen points... I'm not sure."

The candidate correctly attributed the 18-point margin drop across the cost lines, but only after the interviewer spelled out the approach; no equation was laid out before computing.

"I don't really know where to start, sorry."

"And margin dropped 18 points, 24 to 6. So COGS explains 16 of the 18 and overhead the other 2."

Missed opportunities

Interviewer turn 31: 'Walk me through how those 10% and 28% figures connect to the sixteen points of revenue you attributed to COGS.'

A great answer: "Beans were 25% of a 42% COGS base, so about 10.5% of revenue. Up 40% with prices flat, that's about 4.2 points. Other inputs were 31.5% of revenue, and up 37.5% that's about 11.8 points. Together that's 16 points, so beans explain only about a quarter of the squeeze. The broader input basket is the bigger story."

Data & Exhibit Interpretation

needs work

What needs work

The candidate could not engage with the exhibit unaided and needed repeated interviewer prompting to identify which line moved.

| *"hmm, I'm not sure what to do with this."*

| *"Sorry, I'm a bit stuck on what that means."*

The first read only restated direction with no magnitude or so-what.

| *"COGS went up. Labor stayed the same I think."*

With help, the candidate concluded that inflation was broad across inputs rather than limited to beans and linked it to flat menu prices, but first misread the exhibit by calling beans the biggest piece of COGS when they were only 25% of it.

| *"since that's the biggest piece you named"*

| *"So inputs across the board got more expensive, not just beans. And prices on the menu never moved, so none of that got passed to customers."*

Missed opportunities

Turn 12, when the cost structure exhibit was first shown.

A great answer: "COGS rose from 42% to 58% of revenue, which is 16 of the 18 margin points lost. Labor is flat and overhead adds 2. So the problem is input costs relative to price. Next I'd test whether the 40% bean spike explains it. Beans are only 25% of COGS, so I suspect it doesn't, and I'd look at dairy, packaging, and food too."

Business Judgment & Insight

adequate

What went well

The candidate correctly ruled out labor as a lever because it was flat.

| *"maybe the labor side? But labor held flat so I don't think it's the problem."*

What needs work

The candidate proposed a sensible test-before-rollout approach for pricing and flagged customer tolerance as the key risk, but initially chose sales as the test metric and recognized that profit is the right success metric for a margin case only when prompted.

| *"And I'd measure whether sales drop."*

| *"Maybe try it in a few stores first and see what happens to sales."*

| *"The case is about margin, so I'd want to look at profit, not just sales volume."*

Missed opportunities

Interviewer turn 48 asked how to size a price increase and what risk to check.

A great answer: "Prices are flat after about 38% unit-cost inflation, so we have room. I'd start with selective increases on specialty drinks where demand is less elastic, benchmark against peer chains, and pilot in matched test and control stores. I'd track transactions, ticket size, and gross margin per store before rolling out."

Creativity & Brainstorming

needs work

What went well

The mix-shift idea builds on the case fact that customers are buying more items per visit.

| *"Like if people are buying more per visit anyway, steer them toward higher-margin stuff."*

What needs work

The candidate generated few ideas, dried up quickly, and needed repeated prompts for each one.

| *"hmm, I'm not sure."*

| *"I'm not really coming up with much, sorry."*

Ideas were not organized into buckets until the interviewer asked, and they were never prioritized.

| *"Pricing is one group, and suppliers and portions are both cost ones."*

Missed opportunities

Interviewer turn 33: 'what else could Brew & Bean do to reverse the decline?'

A great answer: "I'll split levers into price, cost, and mix. On price: selective increases on specialty drinks. On cost: longer-term bean contracts or hedging, and renegotiating dairy, packaging, and food, which are the bigger driver. On mix: promote high-margin add-ons and bundles, and pilot a lower-cost blend in value-sensitive stores. I'd prioritize pricing first because it addresses the root gap fastest."

Synthesis & Recommendation

needs work

What went well

When the question was narrowed to the cause alone, the candidate stated the driver clearly in one sentence.

| *"Input costs went up a lot and prices never moved, so margin got squeezed."*

What needs work

The candidate never delivered a committed recommendation, despite repeated invitations and being pointed back to the candidate's own lever and test.

| *"I'm sorry — I don't know."*

| *"I'm sorry, I don't know."*

Even the tentative lever choice was hedged and given without risks or next steps.

| *"But I don't really know if that's the right one. Sorry."*

Missed opportunities

Interviewer turn 62: 'Use your own words from a few minutes ago... Put those together in two sentences as your recommendation to the CEO.'

A great answer: "Brew & Bean's margin fell because input costs rose about 38% while menu prices stayed flat. COGS explains 16 of the 18 points. I recommend a targeted price increase, piloted in a mix of stores and judged on profit, not just sales, paired with renegotiating input supply across beans, dairy, and packaging. The key risk is customer drop-off, which the pilot will measure before a full rollout."

Communication & Delivery

needs work

What needs work

Delivery was heavy with filler, apologies, and confirmation-seeking rather than top-down statements.

| *"Am I on the right track?"*

| *"Sorry, I don't know."*

Answers were short and clear when the question was narrow, but otherwise were bottom-up and tentative, with little signposting or hypothesis language after the opening.

| *"Maybe raise prices? But I don't really know."*

| *"Input costs went up a lot and prices never moved, so margin got squeezed."*

Missed opportunities

Turn 18, after correctly attributing the margin drop.

A great answer: "So the answer is COGS: 16 of the 18 points. My hypothesis is that input inflation wasn't passed through to price, so next I'll break COGS into beans versus other inputs."

Pushback, Composure & Case Leadership

needs work

What went well

The candidate incorporated corrective hints once they landed.

| *"Okay, points of revenue, that makes sense now."*

| *"No, probably not. The case is about margin, so I'd want to look at profit, not just sales volume."*

What needs work

The candidate drove the analysis forward at times by asking for relevant data, but was largely passive overall: the candidate needed exhibit rescue assists, repeatedly sought confirmation, and stalled entirely at the recommendation stage.

| *"I don't really know where to start, sorry."*

| *"I'm sorry, I don't know."*

| *"Do we have the bean cost trend?"*

The candidate offered no evaluative response when asked what would change the recommendation.

| *"I don't know, sorry."*

Missed opportunities

Interviewer turn 64: 'What would change your mind on that recommendation?'

A great answer: "If the pilot showed transactions falling enough to offset the higher price, so that store profit didn't improve, or if peers were holding prices and taking share, I'd shift weight toward procurement and mix rather than price."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 1:58

Okay. So I think I'd look at, um, three main areas. First, revenue — like what's happening with sales. Second, costs, so what they're spending money on. And third, maybe like external stuff, competition or the market.

I think costs is probably where the issue is since revenue went up but profit went down.

Interviewer · 2:00

Okay. You've named revenue, costs, and external factors. Is that structure MECE, and what would you break down further within costs?

Candidate · 2:37

Um, I think so? Maybe revenue and costs overlap a little with external.

Can I ask a clarifying question first — when you say the margin went from 24% to 6%, is that across all 200 locations or just some of them?

Interviewer · 2:39

The data I have is chain-wide; I don't have a store-by-store cut. Is there a specific piece of data you'd want to start with, and why?

Candidate · 3:02

Okay. Um, another question — did they open new locations in the last two years, or is it the same 200 stores?

Interviewer · 3:04

200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed.

Candidate · 3:22

Got it. And has the revenue growth come from price increases or from more customers?

Interviewer · 3:24

That's answerable with two data points: average ticket and menu price changes. I'll give you both. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Menu prices have not changed in two years.

Candidate · 3:46

Okay, that's helpful. One more — do we have the cost breakdown, like what the main cost categories are?

Interviewer · 3:48

I'll show you the exhibit on cost structure over time. You asked about that — Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 4:04

hmm, I'm not sure what to do with this.

Interviewer · 4:06

Take a moment with the exhibit on your screen. Which cost lines changed the most as a share of revenue, and what does that tell you?

Candidate · 4:26

COGS went up. Labor stayed the same I think.

Sorry, I'm a bit stuck on what that means.

Interviewer · 4:29

Take your time. The question on the table is: of the cost lines on the exhibit, which one explains the margin decline, and how would you size it?

Candidate · 4:43

I don't really know where to start, sorry.

Interviewer · 4:45

No need to apologize. Start with the percentages: COGS went from 42% to 58% of revenue, labor held steady, overhead moved slightly. How much of the margin drop does each of those three lines account for?

Candidate · 5:27

Okay. COGS went from 42 to 58, so that's a 16% increase in COGS. Overhead went 12 to 14, so 2%. Labor is 0%.

And margin dropped 18 points, 24 to 6. So COGS explains 16 of the 18 and overhead the other 2.

Am I on the right track?

Interviewer · 5:28

Okay. You called the COGS move a 16% increase; check that against the figures. Are those percent, or points of something?

Candidate · 6:06

Um... I think it's 16%? Like 42 plus 16 is 58, so it went up 16%.

god I'm so bad at this. Honestly I think I'm going to bomb every interview I do this fall, I don't even know why I'm doing this.

Interviewer · 6:06

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 6:33

Thanks. I'm okay, really — I think I'm just frustrated with myself, not anything more than that.

I'd rather keep going if that's alright. Stopping would feel worse.

Interviewer · 6:36

Okay, we'll keep going. Back to your last point: 42 to 58 is a move of sixteen, but is that sixteen percent of revenue or sixteen percent growth in COGS? Which one is it?

Candidate · 7:02

I think it's 16 percent growth in COGS? Since 42 went up by 16 to get to 58.

Am I on the right track with that?

Interviewer · 7:04

I can't confirm that for you. Look at what 42 and 58 are each a percentage of. Then restate the sixteen in those terms.

Candidate · 7:33

They're both percentages of revenue, I think.

So COGS grew 16 percent, from 42 to 58. That's the sixteen.

Sorry, I know you're pointing at something and I'm not seeing it.

Interviewer · 7:36

You're right that both are percentages of revenue. So the move from 42 to 58 is sixteen points of revenue, and your earlier line was that it explains sixteen of the eighteen points of margin drop. Now, what inside COGS would you want to dig into to understand why it rose?

Candidate · 8:23

Okay, points of revenue, that makes sense now.

Inside COGS — you said coffee beans were 25% of COGS two years ago, and other inputs like dairy and packaging are up 37.5%. So I'd want to know what happened to bean prices specifically, since that's the biggest piece you named.

Do we have the bean cost trend?

Interviewer · 8:25

One note: I gave you beans as a share of COGS, not that they were the biggest piece. You've asked for the bean price trend, so here it is. Raw coffee bean costs are up 40% over the past two years.

Candidate · 9:27

Okay, so beans were 25% of COGS and up 40%. So that's 0.25 times 40, which is 10 — beans alone add about 10% to COGS.

And the other inputs, if dairy and packaging and food are most of the rest, say 75% at 37.5% up, that's about 28% more.

So inputs across the board got more expensive, not just beans. And prices on the menu never moved, so none of that got passed to customers.

Does that line up?

Interviewer · 9:30

Your arithmetic runs on cost growth, not margin. Walk me through how those 10% and 28% figures connect to the sixteen points of revenue you attributed to COGS.

Candidate · 10:29

Um. I think the 10 and 28 add to about 38, so COGS went up 38% overall. And 42 times 1.38 is about 58. So that gets me to the 58.

But connecting that to the sixteen points... I'm not sure. The sixteen points is the gap in revenue terms and the 38% is the cost growth, and I think they're the same story told two ways, but I can't quite say it cleanly. Sorry.

Interviewer · 10:32

You've done the work there. The cost per unit rose by that amount, while prices stayed flat. So COGS went up in revenue terms, and that explains most of the margin drop. Now, beyond what we've discussed, what else could Brew & Bean do to reverse the decline?

Candidate · 10:49

hmm, I'm not sure.

Maybe raise prices? But I don't really know.

Interviewer · 10:51

Price is one lever. What are some others, on the cost side or the customer side, that Brew & Bean could pull?

Candidate · 11:13

Um, maybe cheaper suppliers for beans. Or smaller portions I guess.

I'm not really coming up with much, sorry.

Interviewer · 11:16

Those are on the table. You've named pricing, suppliers, and portions; how would you group the ideas so far, and what's a category you haven't touched yet?

Candidate · 11:48

Pricing is one group, and suppliers and portions are both cost ones.

A category I haven't touched... maybe the labor side? But labor held flat so I don't think it's the problem.

Sorry, I don't know.

Interviewer · 11:51

Okay. Customers are buying more items per visit and prices haven't moved. What could Brew & Bean do on the menu or in the store to take advantage of that?

Candidate · 12:22

Maybe push the items that cost less to make? Like if people are buying more per visit anyway, steer them toward higher-margin stuff.

I think that's what you're getting at but I'm not sure.

Interviewer · 12:26

Okay. Given everything we've covered, what's your recommendation to the CEO?

Candidate · 12:39

I don't know, honestly. I'm sorry.

Interviewer · 12:41

Take a minute. You've covered where the margin went and several levers. Which of those would you put in front of the CEO first, and why?

Candidate · 13:32

I'm sorry, I don't know.

Interviewer · 13:35

Okay. Take your best attempt in a sentence or two, even if you're unsure. Which lever would you start with, and what's your reason?

Interviewer · 14:37

Still with me? Take your time. The question on the table: which lever would you start with, and what's your reason?

Candidate · 15:13

I think maybe pricing, since prices haven't moved in two years and costs went up a lot.

But I don't really know if that's the right one. Sorry.

Interviewer · 15:15

Understood. How would you decide how much to raise prices, and what risk would you check before doing it?

Candidate · 15:40

Um, I'd want to know how much customers would tolerate before they stop coming.

I don't really know how you'd figure that out though. Sorry.

Interviewer · 15:43

Okay. How could you test that before rolling it out to all the stores?

Candidate · 16:01

Maybe try it in a few stores first and see what happens to sales.

Interviewer · 16:03

Okay. How would you pick which stores to test in, and what would you measure to decide whether to roll it out?

Candidate · 16:30

Maybe a mix of different locations so it's not all one type of market.

And I'd measure whether sales drop. Sorry, I don't know much beyond that.

Interviewer · 16:32

Understood. You'd measure sales; is sales alone enough to tell whether a price increase worked, given what this case is about?

Candidate · 16:58

No, probably not. The case is about margin, so I'd want to look at profit, not just sales volume.

Sorry, I should have said that earlier.

Interviewer · 17:02

Okay. Now put it together in a few sentences for the CEO: what's driving the decline, and what do you recommend?

Candidate · 17:14

I'm sorry — I don't know.

Interviewer · 17:17

Start with just the first part. In one sentence, what is driving the margin decline?

Candidate · 17:35

Input costs went up a lot and prices never moved, so margin got squeezed.

Interviewer · 17:37

Okay. Now add the second part: given that cause, what would you recommend to the CEO?

Candidate · 17:49

I'm sorry, I don't know.

Interviewer · 17:52

Use your own words from a few minutes ago. You named a lever and a way to test it. Put those together in two sentences as your recommendation to the CEO.

Candidate · 18:04

I'm sorry, I don't know.

Interviewer · 18:07

What would change your mind on that recommendation?

Candidate · 18:18

I don't know, sorry.

Interviewer · 18:21

We'll stop there. Thanks for working through the case — your written report will follow.